Chapter 35 — The Theory of Institutional Governance

The founder’s operating constitution: legal structure, corporate control, investor rights, compliance, academic authority, financial safeguards and succession

Building What Lasts: A Theory of Entrepreneurship, Business Strategy, and Institutional Evolution
Part VIII — Capital, Research, and Institutional Evolution
Edition: October 2026 · India-first private-enterprise focus, with later academic and international branches

> **Central thesis.** Governance is not an abstract virtue reserved for old institutions. It is the machinery that determines who can commit the company, whose money is at risk, what information must be trusted, who can stop a harmful decision, and how founders preserve legitimate strategic control. Good governance allows an ambitious founder to move quickly without allowing small legal, financial, academic or interpersonal mistakes to become existential risks.

Important legal boundary. This chapter is an operating and negotiation framework, not legal, tax, investment or regulatory advice. Indian Companies Act, FEMA, UGC, state private-university, FCRA, data protection and sector-specific obligations depend on legal form, activity, thresholds, amendments and jurisdiction. The exact operative law and filings must be checked with qualified Indian company secretarial, legal, accounting and academic-regulatory advisers before action. [Evidence] identifies attributed official-source context; [Model] indicates illustrative economics; [Decision rule] indicates founder operating recommendations.

Part I — Governance Is a Production System for Decisions

1. Why founders encounter governance long before they become large

The first governance problem arises when someone other than the founder relies on the company’s promise: a paying learner, an employee, a cofounder, a client, a vendor, an investor or a bank. The founder may believe they are merely experimenting, but contracts, taxes, wages, data and intellectual property already exist. The company must be able to establish what it promised, whether it had authority, what it received, and how it fulfilled the promise.

A two-person startup does not need a university senate. It does need clean ownership, separate money, accurate records, lawful contracts, decision authority and a method for resolving disputes. Governance should be proportional to actual risks and commitments.

2. Separate ownership, control, management and legitimacy

Ownership is a claim on economic returns and sometimes votes. **Control** is the practical power to approve or block important decisions. **Management** is authority to operate the business day to day. **Legitimacy** is the recognized right to make particular promises or decisions under law and stakeholder standards. The four overlap but are not identical.

A founder may own 60% of shares but lack unilateral power to issue new securities or approve a sale because of investor consent rights. A university's academic council may determine standards despite its sponsoring body's financial contribution. A research sponsor can pay for work without owning the right to rewrite results. Governance maps these distinctions explicitly.

3. Five governance layers

An effective system has: (1) **entity law and constitutional documents**; (2) **equity, debt and stakeholder contracts**; (3) **board and management authority**; (4) **controls and trustworthy information**; and (5) **mission, academic and professional safeguards**. A weakness at one layer can defeat another. Strong values do not cure defective share issuance. Excellent incorporation paperwork does not prevent an unchecked founder from diverting restricted donations.

The practical aim is to make legitimate decisions efficient, unauthorized decisions difficult, and mistakes discoverable early.

4. Governance versus bureaucracy

Bureaucracy is activity that persists without improving decision quality, compliance, safety or accountability. Governance provides traceable authority and evidence. A founder should automate reminders, filings, reconciliations and standardized approvals where possible, while preserving thoughtful review for related-party deals, financing, research integrity, major hires and property.

A useful test: which real failure would this procedure prevent, detect or remedy? If none, simplify it. If the potential failure could bankrupt the organization or injure learners, do not skip it merely to appear agile.

5. Two complementary constitutions

A private company needs a **commercial constitution**: who owns, appoints, finances, contracts and allocates returns. A serious academic institution also needs an **academic constitution**: who sets curriculum, judges faculty, authenticates assessment, approves research, protects student interests, manages ethics and guards the truth. A university may require statutory governing bodies that cannot be replaced by founder preference.

The two must cooperate without allowing revenue targets to determine scientific findings or academic marks. These principles can begin as modest policies long before formal degree authority is contemplated.

6. Control is the right to decide *and* the ability to comply

A founder may demand every veto right and then become the bottleneck for all operations. That is not effective control. Good control is the power to define strategy, appoint accountable leaders within the law, authorize material risk, receive reliable information, and correct failure. It includes limits on self-dealing and decision processes that make outside capital and long-term partnerships possible.

Governance should preserve founder agency where earned and lawful, while establishing boundaries that protect others' rights and the organization's capacity to continue.

Part II — Choosing and Governing the Legal Structure

7. A private limited company: the conventional commercial vehicle

An Indian private company limited by shares is often suitable for a scalable commercial education, software or consulting enterprise with employees, investors and share-based ownership. Its benefits may include limited liability, transferable economic interests subject to rules, defined director and shareholder governance, and compatibility with many financing instruments. It brings statutory filings, accounts, board duties, tax and employment obligations.

Limited liability does not protect a founder from every personal guarantee, statutory breach, fraud, wrongful conduct or independently assumed contractual liability. Treat the corporate boundary as real in accounting and conduct.

8. LLP, sole enterprise and other forms

An LLP may suit some professional services and internal profit-sharing arrangements but can be less convenient for venture-style equity and employee options; exact rules differ. A sole proprietorship offers simplicity but weak separation of business obligations. Partnerships and trusts involve different liability and governance structures. A founder should choose based on customers, risk, hiring, investor needs, taxation and future statutory activities—not the lowest incorporation fee.

Never convert legal entities or transfer IP casually; conversions can trigger tax, stamp, consent and contract issues.

9. Section 8 and other mission structures

An Indian Section 8 company can be established for qualifying public-interest purposes, including science, education and research, under the Companies Act and relevant rules. It is not a route for distributing profits as ordinary shareholder dividends; the legal restrictions and governance must be understood. Trusts and societies are other possible mission vehicles, with state-specific laws and sponsor eligibility questions. MCA's incorporation materials describe Section 8 objects and procedural particulars [G1].

A philanthropic research center, university sponsor and commercial company may need different structures. Do not assume one entity can freely mix VC profits, gifts, degree fees, research grants and a founder-owned property portfolio.

10. Entity architecture follows obligations, not branding

A founder may eventually operate a commercial company, separately governed educational/research entity, campus property holder, and optional venture spinouts. Multiple entities are justified when their legal obligations, risk pools, beneficiaries, asset rights and capital sources genuinely differ. They are not justified merely to multiply prestigious letterheads or move funds opaquely.

Draw a diagram with every entity, its owners/members, assets, liabilities, decision makers, intercompany agreements, tax registrations and restrictions on funds. If you cannot explain money and rights moving between them, the structure is not ready.

11. The company register is the source of corporate truth

Maintain incorporation documents, memorandum and articles, registers of members and directors, share allotment records, board and shareholder resolutions, beneficial ownership records, loan agreements, statutory filings, material contracts, intellectual-property assignments and employment agreements. Use a qualified company secretary where appropriate. A cap table in a slide deck is not a substitute for legal share records.

Before raising funds, reconcile the **issued shares**, paid-up capital, securities outstanding, vesting and option plans, convertible rights, and actual statutory filings. Investors may discover inconsistencies that undermine valuation or closing.

12. Founders' agreements before disputes

Co-founders should clarify ownership, cash and time contributions, vesting or reverse-vesting structures where legally and contractually feasible, roles, compensation, IP assignment, confidentiality, departure and incapacity, transfer restrictions, deadlock resolution, decision rights, dispute resolution and what happens when someone ceases contributing. The agreement must align with constitutional documents and applicable law.

A handshake 50/50 split can become an unmanageable veto problem if one founder leaves. Equally, “I started the idea” is not a legal substitute for properly executed share and IP arrangements.

13. Intellectual property ownership is a governance decision

For software, curriculum, research, trademarks, datasets and inventions, record the author, contracting relationship, assignment or license, permitted uses and third-party restrictions. Former employer IP, open-source dependencies and contractor-created code can be expensive diligence problems. A developer who receives a fee does not necessarily convey every intellectual-property right absent suitable legal agreements.

Use rights-cleared materials and explicit independent work boundaries. For research partnerships, establish background/foreground IP and publication rights before results exist.

Part III — Boards, Investors, and Founder Control

14. Control has several instruments

Economic ownership percentage, shareholder vote thresholds, board appointment rights, reserved-matter consents, liquidation preferences, information rights, transfer restrictions and debt covenants can all affect control. A shareholder may have a minority stake yet block issuing new shares, taking debt, changing the business, hiring a senior leader or selling the company. A founder can retain board influence but face lender covenants preventing distributions or capital projects.

Evaluate the entire rights package. “Founder still owns a majority” is not a complete control analysis.

15. An illustrative dilution sequence

[Model] Founder F owns 80 shares and cofounder C owns 20. A new investor contributes ₹4 crore at ₹16 crore pre-money, giving a ₹20-crore post-money valuation and **20% post-money ownership**, assuming no option pool or convertibles. F falls to 64%, C to 16%. At a subsequent round of ₹10 crore at ₹40 crore pre-money, the new investor receives 20%; existing stakes multiply by 80%: F 51.2%, C 12.8%, first investor 16%, second investor 20%.

F remains a narrow economic majority but may already need investor votes for protected decisions. Future option pools and financing can dilute below 50%. Control must be simulated on a fully diluted basis and by actual contract rights.

16. The option-pool shuffle

An investor may ask for an employee option pool to be created **before** the financing rather than after, shifting more dilution onto current holders. Compare effective founder ownership and total investor ownership under

both structures. Examine who bears the cost of pool top-ups in future rounds, whether unissued pool shares affect fully diluted calculations, and what happens when employees leave.

A high pre-money headline valuation can be economically less attractive after aggressive pool expansion, preference terms and veto rights are considered.

17. Board seats and observer rights

Board rights affect budgets, major transactions, financing, strategy, audit and hiring. An investor director may bring expertise and protect capital but may also have different liquidity preferences. An observer can gain information and influence without the same formal seat; confidentiality and conflicts still matter. Define board size, appointment/removal, quorum, chair, deadlock and committee structure in lawful documentation.

Beware of quorum rules under which one absent nominee can repeatedly prevent valid meetings. Include reasonable reconvening mechanisms consistent with applicable requirements.

18. Reserved matters are the real negotiation terrain

Common investor-protected matters may include new securities, changes to share rights, acquisitions, major borrowing, related-party transactions, budgets over specified limits, sale of assets, changes to business, liquidation, founder compensation or departures. Some protections are reasonable investor safeguards; others can turn a minority investor into an operational controller.

Negotiate **materiality thresholds, duration, consent response times, good-faith standards, ordinary-course carve-outs, cure procedures and sunset rules**. “Every contract above ₹1 lakh needs investor permission” is likely unworkable for a growing institution. “Any undisclosed related-party transaction requires independent approval” can be protective.

19. Shareholder agreements and constitutional consistency

Investor terms may appear in a term sheet, share-subscription agreement, shareholders’ agreement and amended articles. Their enforceability and interplay under Indian law requires counsel; do not assume a private contract automatically overrides statutory rules or constitutional documents. The closing checklist must specify which protections require article amendments, class approvals, board actions, stamp/filing steps and updated registers.

A founder should never sign economic terms and promise to “sort out governance later.” Governance is part of price.

20. Liquidation preference versus ordinary ownership

A 1× non-participating preference may allow an investor to take back invested capital or convert to common in a qualifying exit. Participating preferred may receive capital first and then share residual proceeds; caps and

seniority matter. Multiple rounds can create waterfalls that surprise founders at modest exit values. Anti-dilution terms can shift ownership after down rounds. Redemption rights can create cash pressure even when no buyer exists.

Run low, medium and high exit cases, not just a triumphant unicorn scenario. Compare founder proceeds and company solvency under the real instrument language with counsel.

21. Drag-along, tag-along and transfer restrictions

A drag-along can force consenting holders to sell if defined conditions are met; a tag-along permits participation in specified transfers. Rights of first refusal, co-sale, founder lock-in, vesting, good-leaver/bad-leaver and transfer restrictions affect founder liquidity and negotiations. Negotiate trigger thresholds, price protection, representations and personal liability, as well as who decides on the sale.

A founder seeking permanent control should not accept a drag provision that gives a minority investor a unilateral route to force an early sale without carefully understanding it.

22. Down rounds and survival financing

When cash is scarce, founders may accept poor terms not because they are irrational but because failure is near. Protect optionality **before** the crisis through reserves, spending discipline, recurring revenue, transparent books and several financing alternatives. At a down round, assess preference seniority, anti-dilution, pay-to-play, employee retention, governance reset and whether fresh capital actually funds a viable operating plan.

Control preserved on paper is worthless if the company cannot meet payroll. The sound objective is durable entrepreneurial agency, not an absolute numerical ownership target at any price.

23. Information rights and confidentiality

Investors may request monthly reporting, budget variance, cohort unit economics, bank reconciliations, material customer contracts and board packets. These can improve discipline, but the organization should protect student records, client data, unpublished research, privileged legal materials and competitively sensitive information. Investor ownership does not automatically grant unrestricted access to every personal dataset.

Define authorized reporting, confidentiality, security standards and board access practices, adapting to statutory rights and contracts.

24. When to refuse VC or structure it elsewhere

VC can be appropriate for scalable software, platform infrastructure or research technology with a credible venture exit. It is less naturally aligned with a bounded premium teaching business or a donor-supported academic institution whose cash flows and purpose differ. The founder may preserve the academic core while

financing a distinct product company, if legal rights, IP, transfer pricing and related-party governance are clean.

Do not create subsidiaries merely to hide risk or move shareholder value contrary to fiduciary duties. Structure changes require proper approvals and fairness to existing stakeholders.

Part IV — Founder Decision Rights and Management Accountability

25. The delegation ladder

Define levels: **inform** (employee decides within policy, then reports); **recommend** (employee develops alternatives, founder approves); **decide within limits** (budget and risk boundaries); **joint approval** (material or cross-functional commitments); and **board/stakeholder reserved** (statutory or constitutional matters). Assign a level to each recurring decision type.

Delegation fails when a person is accountable for outcomes without permission to make ordinary decisions. Founder control should focus on important boundaries and leadership appointments, not every invoice or lecture schedule.

26. A decision-rights register

At minimum specify who can approve hiring and termination, salary changes, discounts and refunds, contracts, customer claims, capital expenditure, loans, related-party dealings, IP licensing, data exports, research publication, admissions decisions, academic misconduct, property and new equity. State monetary thresholds, risk exceptions and escalation channels.

Review the register when the business changes, not merely at annual board renewal. Emergency exceptions should be logged and retrospectively reviewed without normalizing rule-breaking.

27. Financial authority must separate custody and approval

A founder-controlled startup can still maintain dual controls for substantial payments, bank account changes, contractor onboarding and payroll modifications. The person initiating a vendor payment should not unilaterally approve their own reimbursement. Reconcile bank statements and gateway receipts to invoices and revenue recognition. Use a documented cash forecast.

Segregation of duties can be achieved partly through external accounting review in tiny teams. The risk is not only fraud; it is error and false confidence in available cash.

28. Board reporting: the minimum sufficient packet

A monthly or quarterly packet should show liquidity and 13-week forecast, income statement and balance sheet, material liabilities, budget variance, cohort/product economics, receivables, quality/service incidents, material legal changes, headcount and concentrations, major decisions required, and conflicts disclosed. Include a short narrative of what management believed previously and what changed.

A founder who reports bad news early retains more credibility than one who provides polished numbers late. The board should make decisions, not merely hear an optimistic pitch.

29. No approvals without recorded rationale

For significant expenditures, document the problem, alternatives, expected benefits, financing, downside, owner, approval and review date. Record dissent and conditions. A one-page decision memo is often sufficient for a young company. For related-party property, major VC terms or degree programs, the decision should receive independent legal and financial review.

An audit trail allows later leaders to understand why a decision was reasonable given information then—not only judge it with hindsight.

30. Conflict of interest and related-party transactions

A founder may own property leased to the company, hire relatives, invest in student startups, license personal IP, or transact with an entity they control. These may be legitimate, but only if disclosed, appropriately approved, fairly priced and compliant. Indian Companies Act provisions concerning director interests and related-party transactions are relevant, with exemptions and thresholds dependent on facts and amendments [G2].

Use independent market comparisons and recusal where required. “The founder deserves the upside” is not a substitute for a fair process when other shareholders, students, donors or the public have interests.

Part V — Legal and Regulatory Compliance as an Operating Discipline

31. Compliance is a calendar and an evidence system

Maintain a single register of filings and renewals with requirement, entity, authority, legal basis, due date, accountable owner, external adviser, evidence of completion and escalation threshold. Include company secretarial filings, income tax, GST where applicable, TDS, payroll/labor, contracts, privacy, intellectual property, local premises permits and sector-specific education obligations. Actual requirements vary by the company and threshold.

A startup fails compliance when everyone assumes the accountant, lawyer or cofounder is handling it. Assign internal accountability even when work is outsourced.

32. Companies Act and statutory records

The Companies Act 2013 and applicable rules govern incorporation, director duties, accounts, audit, meetings, share issues and other corporate matters [G2]. Confirm whether the company qualifies for any small-company or startup-related procedural relief under current rules. Do not copy a compliance calendar from a much larger listed company without checking applicability; nor presume no annual filings are due because revenue is zero.

Keep statutory records consistent with bank financing, tax accounts and investor reports. Inconsistencies create due diligence and potential penalty risk.

33. GST and income-tax distinctions

Not every education service receives identical GST treatment. Classification can depend on provider status and the nature of services; a private training business should not assume exemptions applicable to qualifying educational institutions. Enterprise consulting, software licensing, overseas services and property transactions can have different tax consequences. Record invoice wording, place of supply, tax rate, input credits, withholding and collection rules with qualified advisers.

Pricing decisions should be based on net realizable revenue and after-tax cash, not a simplistic “tuition is always tax-free” claim.

34. Employment and contractor governance

Written agreements should cover role, compensation, benefits and statutory obligations, confidentiality, IP, acceptable use, conflicts, safeguarding, separation, and data access. A person described as a contractor may be treated differently under applicable law based on facts and control; labels alone do not resolve classification. Workers teaching minors or working in sensitive environments may trigger additional screening and safeguarding duties.

When international hiring becomes relevant, local employment, payroll, immigration and permanent-establishment rules must be separately reviewed.

35. Data protection and security

A technical institute handles learner identity, assessments, performance, payments, recordings, applicant information, and possibly enterprise client data. Establish legitimate purpose and permissions, minimization, role-based access, secure retention, vendor oversight, deletion/rights processes, incident response and protections for sensitive contexts. India’s DPDP Act and 2025 Rules have staged implementation and

subsequent official materials [G3]; verify provisions applicable on the action date rather than assuming every obligation began simultaneously.

Historical contacts of unclear consent status should not be used as a marketing list. A database creates responsibilities as well as apparent distribution power.

36. Intellectual-property and employment conflict

Founders still employed elsewhere should review employment agreements, outside-business policies, non-disclosure, invention assignment and conflict rules. Do not transfer employer code, client information, datasets or internal documents to the venture. Document independent development and use separate accounts and equipment where appropriate. No part of an employee's job description grants permission to exploit their prior employer's materials.

Obtain legal advice where overlapping research areas or invention ownership make the boundary uncertain.

37. FDI and FEMA when investors are foreign

A foreign investor may introduce permitted-sector, entry-route, pricing, reporting, bank KYC, beneficial ownership and downstream-investment obligations. RBI's foreign investment reporting framework includes the FIRMS platform and forms such as FC-GPR, FC-TRS and FLA in applicable situations [G4]. Do not rely on an old generic thirty-day filing rule without confirming current regulations and transaction type.

An Indian founder should engage FEMA-qualified counsel and an authorized dealer bank before closing cross-border equity or convertible financing, not after money has arrived and reporting issues emerge.

38. Foreign customer payments versus foreign donations

An overseas learner's genuine fee for services and a foreign donor's contribution are not necessarily governed identically. India's Ministry of Home Affairs FCRA guidance distinguishes certain ordinary-course fees from foreign contribution and specifies registration/prior-permission requirements for eligible recipients of foreign contributions [G5]. The classification depends on facts and current law. A sponsor cannot relabel a donation as a commercial invoice to avoid regulation.

Maintain separate agreements, bank accounts and restricted-fund records as required. Foreign philanthropy deserves advance specialist advice.

39. CSR, grants, philanthropy and restrictions

Indian CSR funding can require eligible implementing agencies and prescribed filings. Grants and donations may be restricted to scholarships, research, equipment or infrastructure. The recipient cannot treat a restricted grant as ordinary shareholder profit. Track eligibility, donor representations, use of proceeds, reporting,

conflicts and refunds. A founder-controlled commercial enterprise and a future nonprofit entity must not mingle restricted and unrestricted cash.

An endowment requires separate investment and spending rules, authorized fiduciaries and donor-respecting governance.

40. Education and degree recognition

UGC explains that recognized degrees derive from qualifying statutory universities or other lawful degree-granting routes, subject to standards and applicable councils [G6]. A company providing a serious non-degree technical course cannot simply call itself a university or promise degree equivalence. Use precise labels for certificates, professional learning, partner-issued awards and credits, and obtain legal review of collaboration claims.

Formal academic expansion requires separate sponsor, curriculum, campus, faculty and statutory approval work. The commercial company's registration is not university authorization.

41. Maharashtra private-university pathway

The Maharashtra Private Universities (Establishment and Regulation) Act, 2023, updated official text and the 2024 Rules are relevant to a possible state private university [G7]. They describe a proposal and scrutiny process, academic and infrastructure requirements and a statutory architecture. The state may amend its law or interpret requirements for specific sponsors and locations. A founder should commission a compliance gap analysis and DPR before purchasing land for a hoped-for university.

The board must see the legal pathway, actual sponsor eligibility, asset holding rules, financing and academic leadership—not a generic PowerPoint saying "approval is possible."

Part VI — Academic Governance and Institutional Legitimacy

42. A school, laboratory and university are different legal promises

A private learning provider can offer non-degree classes and certifications within applicable law. A research lab can produce scholarship but may need specialized ethics and safety approvals. A university exercises regulated academic authority over degrees and students. Each also has professional obligations independent of legal registration. Treat expansion between forms as deliberate institutional transactions with separate capitalization and governance.

Legitimacy should be earned from accurate claims, verified teaching and research, safe conduct and statutory standing—not from borrowed logos or invented titles.

43. Academic quality requires authority independent of sales

Sales teams may seek high completion rates, attractive testimonials and broad admissions. Academic leaders must sometimes fail students, restrict awards, correct curriculum and publish disappointing evidence. If the commercial head can override grades or rewrite outcome metrics, academic credibility is structurally compromised.

Even in a small course company establish a simple separation: published learning standards, independent second review for disputed assessments, a clear complaints process, and no incentive to inflate results. Later, formal councils and faculty governance may be required by law.

44. Academic freedom is not absence of accountability

Qualified scholars should be able to pursue legitimate inquiry and report evidence, including findings unfavorable to a sponsor or founder. They remain subject to scientific integrity, ethical, safety, confidentiality and lawful funding constraints. Academic freedom is compatible with transparent research budgets and rigorous standards. It is not an unlimited entitlement to consume resources outside an agreed program.

Define publication review, research ethics and responsible criticism. Commercial confidentiality exceptions should be narrowly structured and openly acknowledged where possible.

45. Faculty appointments and tenure-like commitments

Permanent or long-term academic appointments can strengthen research continuity but create significant financial and legal commitments. Selection, promotion and discipline should be based on defensible scholarly and teaching evidence through appropriate peer procedures—not founder patronage or donor preferences. A commercially successful founder may not possess the expertise to judge every scientific field.

Any formal tenure or equivalent protection requires legal and institutional design matched to finances and applicable university statutes. Do not promise employment security the institution cannot honor.

46. Research ethics and misconduct response

A research institute must have competent review, data integrity, authorship rules, conflict disclosure, participant safeguards, and a misconduct procedure that protects reporting and due process. A sponsor or founder cannot serve as sole arbiter of allegations implicating them. Distinguish scientific disagreement from fabrication, falsification or plagiarism and other breaches.

An independent scientific adviser or research integrity officer function can precede a full committee at small scale; the exact structure must meet relevant funder and legal obligations.

47. Student rights and consumer protection

Admissions promises, fees, refund rights, academic requirements, records, grievance mechanisms, reasonable accessibility, personal-data use, disciplinary procedures and safety should be written plainly. Where a program offers no recognized degree or placement guarantee, say so explicitly. Never hold credentials, personal data or student work hostage to force another purchase.

A serious institution preserves a route for learners to challenge assessment error without negotiating their future academic opportunities with the original instructor.

Part VII — Governing Capital, Property and Philanthropy

48. Restricted and unrestricted cash

Tuition collected for future delivery creates obligations even if cash has already arrived. Grants may be restricted and reimbursable; donor funds may be specified for a laboratory, scholarships or a building. Equity is available for lawful business purposes subject to agreements, while debt creates scheduled repayment. These are different forms of capital, and financial reports must keep them distinct.

A founder should not finance experimental venture investments from prepaid learner tuition or construction using funds restricted to scholarships.

49. Investment committees and property approvals

Require a written investment memo for major expenditure with purpose, alternatives, full cost, risk, financing, owner, related-party issues and stop rule. A campus or land purchase deserves independent title, valuation, engineering and project-finance review, with board approval and relevant member/investor approvals under law and contracts. A project should not be approved merely because the founder considers it emotionally important.

An independent committee provides better evidence, not infallible decisions. Decision rights must remain explicit.

50. Endowment governance

An endowment’s annual spending should balance current needs, future purchasing power, investment risk, donor restrictions, liquidity and administrative costs. Establish a governing investment policy, authorized signatories, asset allocation/risk controls, conflicts rules, spending methodology, audit and performance reporting. A donor promise is not an endowment until legally committed and appropriately funded.

[Model] ₹50 crore at a hypothetical 4% prudent annual spending amount gives ₹2 crore before further restrictions and costs. This is arithmetic, not a guaranteed financial return or a legal spending entitlement.

51. Related-party campus arrangements

If the founder owns a building rented to the institute, obtain independent market quotes, review lease terms and conflicts, document disinterested approval where required and make the arrangement transparent to relevant investors and donors. The arrangement may be economically reasonable but becomes a serious governance vulnerability if occupancy costs subsidize the founder at the expense of learners or restricted gifts.

The same principles apply when a research institution licenses the founder's privately owned IP or outsources administrative services to a related company.

52. Governance of donor influence

Donors may legitimately restrict funds to scholarships, facilities or broad research themes, subject to law and agreements. They should not silently purchase admissions decisions, grades, research conclusions, personal appointments or preferential access to student data. Write a gift-acceptance policy addressing naming rights, unacceptable conditions, investment conflicts, refunds, reporting and donor withdrawal.

A founder may be able to reject a donor's terms more easily if the organization has diversified income and sound reserves. Financial independence underwrites academic independence.

Part VIII — International and Multientity Governance

53. Cross-border entities are not just bank accounts

A foreign branch, subsidiary, agent, reseller, academic partner and foundation create different permanent-establishment, tax, employment, transfer-pricing, data and governance risks. Before establishing foreign presence, map who signs contracts, where services are performed, who owns IP, who employs people, where revenue is recognized and where decision makers act. A global website does not by itself require foreign incorporation, but ongoing local operations may.

Internationalization should be staged and supported by local legal/tax advisers in the actual jurisdictions.

54. Intercompany agreements and transfer pricing

Where related entities supply software, research, curriculum, property, management services or licenses, maintain lawful intercompany agreements, allocation methodologies and tax/transfer-pricing records where applicable. A for-profit company should not siphon value from a donor-supported research entity through

inflated management fees. Nor should a foreign subsidiary receive unpriced core IP without reviewing tax and shareholder consequences.

Keep the **economic purpose** of each transfer inspectable. Internal accounting convenience is not evidence of lawful pricing.

55. International board and delegation design

Specify which local manager can price, hire, sign customer contracts, select partners, approve data handling and incur capital commitments; which matters require central approval; and how local compliance issues reach the parent board. Overcentralization slows customers; undercontrolled country teams can create contractual and regulatory liabilities that appear months later.

A globally coherent institution needs consistent integrity standards and locally competent operating authority.

Part IX — Succession, Crisis and Organizational Renewal

56. Succession begins before the founder is absent

A company with all bank approvals, contracts, code repositories, sales relationships and quality decisions held by one founder has key-person risk. Establish a secure delegation and access plan, board emergency authority, power of attorney where lawful and advisable, continuity for learner commitments, and documented critical processes. A short illness should not make payroll impossible.

This is not about abandoning founder control; it is about preserving the enterprise’s ability to honor its promises.

57. The difference between founder ownership and founder management

The founder may eventually step back from daily CEO duties while retaining economic ownership and lawful board or shareholder influence. A mature academic institution may require governance powers that do not belong to a private investor. Separating these functions allows capable successors to improve execution without making the founder’s personal style an institutional requirement.

The right transition depends on company law, shareholder contracts, faculty structures and demonstrated management competence.

58. Leadership succession and appointment standards

Define a CEO succession process and, for a future university, an academically legitimate process for appointing and evaluating senior academic leaders under applicable law. Use role profiles, independent assessment, documented performance criteria, conflict checks, and transition plans. An heir, friend or celebrated investor should not inherit scholarly authority solely through personal relationship.

Succession is effective when the new leader can make different decisions within shared constitutional boundaries.

59. Crisis governance and incident response

Prepare procedures for insolvency risk, cash shortfalls, student safeguarding, cyber breach, major contractual default, academic misconduct, safety incidents, director conflicts and regulatory inquiries. Assign an incident commander, legal reporting owner and communications owner. Preserve evidence, inform affected people as required, and forbid retaliation against good-faith internal reporting.

A serious crisis should not be managed solely through informal WhatsApp instructions with no written trail.

60. Whistleblowing, grievance and anti-retaliation

Employees, researchers and students need proportionate confidential reporting channels, impartial investigation, procedural fairness and protection against retaliation. The founder should not require all complaints to pass through the manager accused of the conduct. An outside ombudsperson or adviser may be a low-cost interim solution.

Failure to hear bad news is one of the most expensive forms of weak governance. A culture of respectful challenge is a productive control.

Part X — Bayes Institute: A Governance System That Evolves With Risk

61. Bayes’s legal reality comes before its future title

Bayes is an early venture concept, not currently a legally recognized university or established research campus. The founder has relevant technical expertise and a long academic ambition, but the company’s exact current legal structure, shareholder records, tax registrations and employer-conflict permissions must be verified from documents. This chapter must not assume that the registered company and the Bayes brand are already legally aligned.

The first governance task is a **corporate facts audit**, not a university advisory board announcement.

62. Phase G0: founder-led commercial compliance

Verify legal identity, ownership, bank authority, tax registration, employment conflict, IP ownership, website claim accuracy, customer contracts, privacy/consent process, bookkeeping and statutory filings. Create a 13-week cash forecast, a single contract repository and a register of major decisions. Do not open a complex nonprofit or foreign subsidiary before evidence of demand requires it.

Keep the household, employer and venture finances strictly separate. Every customer deposit is accompanied by a delivery obligation.

63. Phase G1: first paid programs

Publish accurate terms and assessment criteria, require clear instructor and contractor agreements, obtain appropriate learner consents, establish refund and grievance routes, reconcile gateway collections, and create an independent second-review path for consequential disputes. Assign an approval threshold for discounts, unusual promises and refunds. Track performance and consented proof honestly.

This is the small-company form of institutional legitimacy: buyers can understand, challenge and verify what they are purchasing.

64. Phase G2: first college and enterprise partnerships

Use defined statements of work, payment schedules, faculty qualifications, data/IP responsibilities, brand rules, project change controls, security and confidentiality, and real acceptance criteria. Confirm who is legally authorized to sign on behalf of each college. A ceremonial MOU without commercial obligations or a clear academic approval route should not be treated as a contract or affiliation.

Track receivables and client concentration. A large college contract with deferred collections creates governance and liquidity exposure, not just revenue.

65. Phase G3: considering institutional or venture investors

Prepare a clean cap table and due diligence room. Define the financing’s purpose and whether the business genuinely offers venture-style returns. Simulate dilution over several rounds, option pools and exit values. Examine vetoes, board seats, debt restrictions, forced-sale rights and founder service obligations. Negotiate materiality thresholds and preserve room for routine academic and commercial decisions.

If a technology spinout raises money, ensure the academic core’s assets, customer data and IP have not been transferred in ways that violate existing shareholder, student or donor rights.

66. Phase G4: research governance

Appoint qualified external scientific review, define research integrity and ethics procedures, separate sponsor agreements and restricted financing, and codify publication, authorship and invention policies. The founder should not be the final scientific arbiter on every research question. Protect student research participation and conflicts where educators invest in student companies.

Scientific freedom becomes credible when the institution can publish results that are commercially inconvenient.

67. Phase G5: a separately governed academic institution

Before a campus or university proposal, obtain a full legal architecture opinion covering sponsor eligibility, governing bodies, academic authority, land, funding, donor restrictions, name/brand, for-profit affiliate transactions and future succession. The sponsor may lawfully retain certain appointment or constitutional rights, but should not assume it can privately extract university surplus or overrule statutory academic bodies.

A conceptual constellation of commercial and mission entities may be sensible; the lawful implementation depends on actual state and national rules, not a generic diagram.

68. A practical Bayes control policy

Reserve founder or board approval for financing instruments, issuance of equity, business-model changes, major property, research-related IP disposal, substantial related-party transactions and commitments endangering core liquidity. Delegate admissions logistics, teaching schedules, ordinary vendor purchases and support decisions to qualified staff within published standards. Give academic reviewers independent authority to uphold credible assessment criteria.

This preserves strategic control while letting the institution become more capable than the founder acting alone.

Part XI — The Founder’s Governance Operating System

69. The weekly review

Review cash, looming statutory deadlines, promises made in sales, payment and delivery risks, privacy/security incidents and unresolved conflicts. Escalate urgent compliance and safeguarding matters immediately rather than waiting for a meeting.

70. The monthly review

Reconcile accounts; review revenue quality, tax liabilities, contractual commitments, employment matters, customer outcomes, vendor balances, receivable aging, material incidents, and decision logs. Management should explain deviations and corrective actions with named owners.

71. Quarterly board discipline

Issue a concise packet in advance. Record material approvals, conflicts, significant risks, capital allocation and legal changes. Reserve a session to ask what the management team might be systematically misunderstanding. If there is no board beyond statutory minimum, create a founder review with an external financially literate adviser for high-consequence decisions.

72. Annual governance health check

Check statutory filings, audit quality, shareholder records, board and committee functioning, contracts, related-party transactions, insurance, cybersecurity, academic and research standards, workforce processes, grant reporting, succession and financial reserves. Compare the company's risk and organizational complexity to its controls.

73. The governance stop rule

Do not sign an equity or debt agreement whose rights you cannot model; acquire property with unresolved title; claim degree authority without legal basis; take restricted donations without compliance; publish scientific claims without evidence; or use learner/employer data without proper rights. Escalate to qualified advisers and postpone the transaction when these gates are unresolved. A delayed deal is often cheaper than a disputed one.

Part XII — Advanced Founder Governance Decision Cases

74. The founder-control model should have three layers

A practical control spreadsheet tracks **economic ownership**, **ordinary voting rights and board composition**, and **veto/consent rights**. Each layer should be simulated after all future financing instruments, not only immediately after one term sheet. Record who can appoint directors, approve budgets, sell assets, issue shares, change the business and force an exit. Add a fourth column for debt and regulatory restrictions.

A founder with 55% ordinary shares can face extensive strategic constraints if a minority investor controls financing, material contracts and founder hiring. Conversely, ownership below 50% does not necessarily mean loss of all practical influence if governance is well designed and lawful. Avoid simplistic percentages.

75. Negative control is not ordinary operating protection

Some investor protections are appropriate: preventing unauthorized dilution, major related-party transfers or a sale below agreed thresholds. Other rights can become **negative control** over routine company functioning. The key question is whether the investor is protecting a legitimate investment boundary or directing ordinary operations. Review materiality, sunset, cure and time-to-consent terms.

[Decision rule] For each reserved matter, ask: what investor loss does this veto prevent; could a narrower threshold protect it; what happens if the investor fails to respond; and can the company continue safely during disagreement? Legal counsel must review enforceability.

76. A founder’s board stress test

[Model] A five-person board has two founder nominees, two investor nominees and one agreed independent director. If the founder and investors disagree, the independent director’s judgment can become pivotal. But who appoints, removes and replaces that director? Does an investor nominee’s absence defeat quorum? Are conflicts handled? Can the board approve a financing needed for survival?

Simulate four decisions: budget during weak sales, new fundraising, sale of the company, and transfer of a core IP asset. Do not assume board composition creates safety unless quorum, process and voting requirements support it.

77. Founder compensation and related-party governance

A founder should receive reasonable documented compensation appropriate to role and cash capacity, subject to company approvals and contractual rights. Separately distinguish dividends/distributions, expense reimbursements, loans, rent from founder-owned property and consulting fees. These may face different tax and corporate-governance treatment.

A founder should not compensate themselves through opaque transfers when salary approvals are politically difficult. Such transfers create diligence and conflict risk even when the underlying work was valuable.

78. The dangerous “side letter”

An investor or donor may request private rights outside the main financing or gift agreement: special information, fee reimbursements, vetoes, preferred access, guaranteed return, naming conditions or a secret arrangement with the founder. Side letters can create inconsistent obligations or disclosure problems. A responsible founder ensures material rights are reviewed holistically, properly authorized, and compatible with legal documents and other stakeholders’ rights.

The principle applies to academic partners: an unofficial promise of exclusive curriculum or admissions influence can be as dangerous as a hidden investor veto.

79. Waterfall economics during a modest exit

[Model] Assume an investor provides ₹4 crore for 20% with a 1× non-participating liquidation preference; all other holders own 80%. In a ₹10-crore distributable equity exit, the investor would compare taking ₹4 crore preference with 20% of ₹10 crore = ₹2 crore by conversion; preference gives ₹4 crore, leaving ₹6 crore for common, subject to exact capitalization and senior rights. At ₹40 crore exit, conversion gives ₹8 crore, exceeding the preference, so the investor chooses common participation.

In a participating structure, the investor might first take ₹4 crore and then 20% of remaining ₹6 crore at the ₹10-crore exit, yielding ₹5.2 crore before caps and other terms. Small wording differences materially affect founder proceeds.

80. Option-pool effects at a round

[Model] Suppose the founders together own 100 shares and a new investor wants 20% post-money plus a 10% post-money *unallocated* pool entirely created pre-investment. The exact issuance mathematics depends on instrument terms, but conceptually the founders can end up at 70%, investor at 20%, pool at 10% immediately after closing. In contrast, creating the pool after financing can distribute dilution across all existing holders, including the new investor. Model the real legal share count to avoid confusing percentages.

Do not describe the same headline valuation as economically equivalent under different pool timing.

81. Preferred shares and conversion terms in Indian companies

Investor financing may involve compulsorily convertible preference shares, convertible debentures or other instruments whose lawful form and FEMA treatment depend on facts. Rights such as liquidation preference and voting may be governed by statute, articles and shareholder arrangements; a generic US venture term sheet is not automatically enforceable unchanged in India.

Before signing, prepare a term-by-term translation into Indian legal instruments with company secretary and transaction counsel. Obtain clarity on corporate approvals, valuation requirements, filings and enforceability.

82. Debt can create more veto power than an investor

A lender may restrict additional borrowing, dividends, asset transfers, related-party transactions, new projects and changes in control. Financial covenants can trigger acceleration during a downturn. A founder who refuses equity dilution but borrows heavily against core intellectual property or personal real estate may reduce strategic independence drastically.

Model contractual debt service, security enforcement and covenant headroom alongside the cap table. “We are 100% founder-owned” is not proof that the founder controls the enterprise’s future choices.

83. The director’s duty when the company is distressed

During severe cash pressure, decisions about paying one creditor, taking new customer deposits or transferring valuable assets can expose the company and directors to complex legal duties, insolvency and fraudulent-transfer concerns. A founder must not treat impending failure as permission to prefer personal interests or extract remaining company assets. Seek insolvency-qualified legal and financial advice early.

A 13-week forecast and a board minute recording credible alternatives are valuable risk controls, but they do not immunize unlawful conduct.

84. The fraudulent revenue-growth scenario

Imagine the sales team books a ₹50-lakh college contract as revenue at signature even though delivery has not begun and acceptance is conditional. The P&L appears attractive and supports a financing narrative, while cash is uncollected. The correct response is to review the contract, appropriate accounting standards, service obligations, cutoffs and collectability, and correct records before they reach investors or lenders.

Financial reporting quality is governance. Sales incentives that reward unearned revenue can make misstatement predictable rather than accidental.

85. Related-party lab property example

[Model] A founder-controlled property company offers Bayes a ₹6-lakh/month lease for a future lab. Independent alternatives quote ₹4.5–5.5 lakh for genuinely comparable facilities. Before accepting, adjust for utilities, space, safety specifications, tenure and location; require the relevant disclosures, governance approval and a written fair-value rationale. If the premium cannot be justified by institutional use, reject or renegotiate.

The transaction may be legitimate in principle. The governance failure is concealing conflicts or allowing a financially interested person to be the sole judge of fairness.

86. A cybersecurity incident creates board obligations

A contractor accidentally exposes applicant records. The immediate tasks are containment, access revocation, evidence preservation, incident characterization, affected-party and authority notifications where required, contractor review, remediation and truthful communication. Assign a responsible leader and involve privacy counsel. A vague apology without determining affected data, rights and ongoing risk is not adequate.

The board should receive material incident information and corrective-action status. Incident response should be exercised before a significant breach, not written from scratch afterward.

87. FCRA classification decision tree

First determine whether funds originate from a foreign source; then whether they are ordinary-course fees for genuine services or a contribution; then identify the lawful recipient, applicable registration/prior-permission rules and banking/reporting requirements. Restricted research gifts may involve different obligations from international student tuition or a foreign enterprise invoice.

Keep documentary evidence of the underlying economic transaction. Never recode a donation as a service invoice solely to defeat regulatory controls.

88. Regulated higher education cannot be reverse-engineered from marketing

A new company may advertise an ambitious international institute, but degree and accreditation claims are controlled by law. Before using terms such as university, degree, affiliated, accredited, dual-degree or approved, verify the actual legal entity, issuing institution, authorizations, scope, location and current status. A training certificate should be described for what it is.

Student trust depends heavily on accurate credentials. False prestige claims can impair both consumer protection and future academic legitimacy.

89. Academic-freedom dispute exercise

Suppose a research group publishes evidence that an AI training product sold by the commercial affiliate has no statistically distinguishable effect on a critical transfer task. The commercial CEO requests a publication delay. A healthy governance system applies a predetermined protocol for confidential or legally sensitive material, permits methodological review, and protects honest findings. It does not automatically silence the research to protect sales.

This scenario should be discussed and settled before funding research through a related entity. Founder promises of “we value science” are not a substitute for enforceable procedures.

90. The donor who wants an appointment

A donor offers substantial support for a research chair conditional on appointing a personal acquaintance. The institution should apply its gift-acceptance and qualified appointment rules, disclose conflicts and protect the independence of faculty selection. The money may fund a field or a position without controlling a specific appointment. If the condition is incompatible with law or academic standards, decline the gift.

The organization’s capacity to reject improper influence is a real asset that requires reserves and diversified funding.

91. Shared brand, multiple legal entities

A brand can connect commercial learning products, laboratories, foundation programs and future university activities, but the customer must know which entity contracts, teaches, grants certificates, owns IP and holds data. Central brand licensing and quality standards may help coherence; arm's-length agreements, correct invoices and conflicts processes protect legal boundaries.

Do not market a degree issued by an unrelated institution as a Bayes-issued degree without lawful authorization and accurate description.

92. A cross-border research partnership risk map

Before signing, map export controls and research security in sensitive subjects, research-ethics approval, faculty appointments, applicable data transfer law, funding restrictions, publication rights, ownership of inventions, tax and payment reporting, dispute forum and exit/archiving. A foreign university's logo or professor's personal enthusiasm does not necessarily imply institutional authorization.

Low-risk shared seminars and open publications are often appropriate first collaborations while complex rights remain unresolved.

93. The governance cost of a complex cap table

Multiple investor classes, option pools, side agreements and convertibles increase reporting and consent complexity. Each new instrument should be evaluated for genuine capital value, administrative burden and future negotiation costs. A fragmented investor base may complicate mergers, restructurings and academic separations. Simple legal structures preserve future options when the economic cost is reasonable.

Do not accept complex securities terms solely because they make the headline cash valuation look larger.

94. The "founder control" illusion in university building

A founder might own almost all shares of a commercial business and still be unable—or legally inappropriate—to control academic decisions at a recognized university. Universities and mission entities may have statutory bodies, trustees, independent academic standards and restricted assets. Founder influence can persist through lawful sponsor roles, appointments and mission documents, but extraction of surplus or unilateral grade and research control may be constrained.

The right aim is **legitimate stewardship and mission coherence**, not the ability to override every professional judgment forever.

95. The board should learn from errors, not only assign blame

After a breach, missed regulatory filing, failed contract or academic complaint, conduct a documented review: what was expected, what happened, why controls did not detect it, what incentives encouraged the failure, what evidence was missing and what changes. Distinguish negligence or misconduct from reasonable decisions under uncertainty. A punitive culture can make risks less visible.

Record corrective actions with deadlines and test whether they work. Governance that only generates more policies without changing behavior is bureaucracy.

96. Pre-fundraising governance readiness

Complete a cap-table reconciliation, stock/option records, IP assignments, employee and contractor agreements, statutory accounts and taxes, material customer contracts, debt disclosures, litigation register, data inventory, related-party schedule and board approvals. Run red-team due diligence as if a skeptical investor were already in the room. Fix issues before term-sheet pressure narrows options.

A clean data room is not merely a transaction convenience; it makes the company easier to manage and helps preserve negotiating leverage.

97. The first board without losing the founder’s speed

Even a closely held private company can operate with an agenda, a reliable monthly dashboard, short documented resolutions and external specialist advice when needed. Routine decisions can remain with management under delegation limits. Reserved matters should be genuinely consequential. Meetings should end with owners, deadlines and decision records—not only PowerPoint presentations.

As the company grows, gradually add independent expertise in finance, teaching, research, law and operations rather than ceremonial advisers without responsibility.

98. Governance stress test for Bayes

Simulate four futures: (a) a profitable cohort business with no investors; (b) a VC-financed education software subsidiary; © a separately funded research institute; and (d) a legally recognized university proposal. For each, draw ownership, statutory authority, contracted investor rights, financial restrictions, academic decisions and likely conflicts. Identify which rights can be preserved across transitions and which require a new governance form.

The founder should not attempt to solve all four futures legally today. The exercise reveals documents and commitments that would foreclose attractive routes later.

99. The founder’s governance decision rule

Before any major commitment ask: who is the legal person signing; who bears loss; who receives returns; who can approve, veto or reverse; which public or academic interests are protected; which filings and consents are necessary; what information must remain independent; and how a successor would understand the deal. If the founder cannot answer, defer execution and buy the relevant expert advice.

Good governance does not remove entrepreneurship from the founder. It preserves the organizational rights, trust and information required for entrepreneurship to continue.

Practical Appendices

Appendix A — Founder Corporate Facts Audit

```
Legal company name, CIN, address, business objects:
Directors and designated signatories:
Current issued/paid-up and fully diluted ownership:
Shareholder agreements, articles, convertible rights, ESOPs:
Current tax and payroll registrations:
Statutory filing and audit status:
Bank authority and authorized payment limits:
Brand, domain, curriculum and code ownership:
Employment and outside-business conflict reviews:
Material customer, supplier, employment and IP contracts:
Privacy/data processing inventory:
Current or future debt, guarantees and security:
Existing litigation, notices, related parties and disputes:
Actual status of Bayes brand versus registered entity:
Independent counsel/company secretary/accountant findings:
```

Appendix B — Investor Term Sheet Negotiation Grid

Term	Investor purpose	Founder concern	Negotiation question
Valuation and option pool	Economics and hiring	Effective dilution	Before or after financing?
Liquidation preference	Downside protection	Low-exit waterfall	Participating? Senior? Cap?

Term	Investor purpose	Founder concern	Negotiation question
Board seats/quorum	Oversight	Decision blockage	Alternate quorum process?
Reserved matters	Protect principal	Operational veto	Thresholds, sunset, response time?
Anti-dilution	Down-round protection	Transfer of equity	Broad/narrow basis; carve-outs?
Drag-along	Enable exit	Forced sale	Trigger and price protection?
Founder vesting/lock-in	Continuity	Involuntary forfeiture	Good leaver, disability, cure?
Information rights	Transparency	Customer/data confidentiality	Aggregated reports and permitted access?
Redemption/debt covenants	Liquidity	Forced cash obligation	Can company survive adverse case?

Appendix C — Fully Diluted Cap Table Worksheet

Track each class and instrument: issued common, preferred, options granted and available pool, warrants, SAFEs/notes, conversion discounts/caps, anti-dilution adjustment and accrued rights. Show pre-money, new money, post-money, owner percentages, proceeds and control rights. Run dilution and exit waterfalls at several valuations including disappointing exits.

Appendix D — Reserved Matters Authority Schedule

Rows: ordinary contracts, discount/refund, hiring, compensation, borrowing, new equity, capex, related-party dealings, material IP licenses, acquisitions, land, research grants, public educational claims and changes to academic policy. Columns: manager authority, CEO authority, board resolution, investor consent, statutory/member approval, evidence and response SLA. Counsel must validate the final schedule.

Appendix E — Corporate Compliance Register

Entity; obligation and legal basis; regulator; applicability threshold; statutory due date; operational due date; responsible internal owner; external adviser; filing evidence; penalty/impact; outstanding issue. Separate company, tax, labor, data, foreign investment, premises and academic requirements.

Appendix F — Related-Party Transaction Memo

Parties and ownership links; commercial rationale; alternatives; independent market quotes; valuation; service specification; conflicted decision makers; disclosures and recusals; approvals under laws/articles; accounting; contract term; termination; donor/academic implications; future review date.

Appendix G — Academic Quality and Integrity Charter

Publish competency standards and assessment rules; faculty academic discretion bounded by policy; second-reader appeal and integrity procedures; truthful outcomes; research ethics and authorship; learner and staff grievance rights; sponsor publication rules; independent review for conflicts and serious misconduct.

Appendix H — Philanthropy and Endowment Separation

Record donor, legal entity, agreement, date/currency, purpose restriction, release conditions, bank location, spend authority, investment policy, reporting, amount collected versus pledged, funds used, balance and contingencies. Never treat restricted gifts as general operating cash without legal basis.

Appendix I — Governance Risk Map

Rank scenarios by legal severity, cash impact, likelihood range, detection delay, control effectiveness and owner: investor veto deadlock; statutory filing missed; delayed college collections; misleading credential claims; data breach; related-party lease; research misconduct; unauthorized foreign grant; founder incapacitation; campus cost overrun. Require quantified triggers and a response plan.

Appendix J — A 90-Day Founder Governance Upgrade

Days 1–15: reconcile entities, shares, banks and registrations. **16–30:** contract/IP and compliance inventory. **31–45:** cash controls and delegation thresholds. **46–60:** privacy, refunds, grievances and employment agreements. **61–75:** investor/data room readiness and related-party register. **76–90:** external legal/accounting review, risk register and board-style decision cadence. Complete the critical legal items before pursuing large deals.

Appendix K — Shareholder and Academic Control Separation

For each domain, name the authority and protection: shareholder economic rights; directors' fiduciary duties; company operating budgets; faculty appointment process; academic standards; grant spending; research publications; student admissions and appeals; university sponsor functions; philanthropy; property rights; and IP licensing. Mark any potential conflicts requiring outside review.

Appendix L — Founder Incapacity and Succession File

Document emergency bank and payroll continuity, corporate access and passwords held securely, responsible board contacts, customer/learner obligations, critical contracts, legal notices, short-term CEO delegation, key-person insurance review where sensible, and a plan for secure access by designated authorized persons. Review annually and after major funding.

Official Sources and Research Foundations

- **[G1]** Ministry of Corporate Affairs, SPICe+ and incorporation FAQs, including Section 8 incorporation context. Check current instructions.
- **[G2]** Ministry of Corporate Affairs, Companies Act, 2013 with subsequent amendments and rules, including director interests, related-party transactions, securities and statutory reporting.
- **[G3]** Ministry of Electronics and Information Technology, DPDP Rules 2025 and enforcement timeline. Phasing and revisions matter.
- **[G4]** Reserve Bank of India, foreign-investment reporting regulations and FIRMS portal. Confirm applicability and deadlines with AD bank.
- **[G5]** Ministry of Home Affairs, FCRA official portal and current FAQs, distinguishing specified commercial fees and foreign contributions.
- **[G6]** University Grants Commission, official FAQ on recognized degree authority and state private universities.
- **[G7]** Maharashtra Higher and Technical Education Department, Private Universities Act/Rules, and Law Department's updated Act index.
- **[G8]** World Intellectual Property Organization, institutional IP policy toolkit.
- **[G9]** OECD (2015, updated frameworks), *G20/OECD Principles of Corporate Governance*, a conceptual governance reference intended primarily for broader corporate systems; not directly a small-startup legal checklist.
- **[G10]** Robert A. G. Monks and Nell Minow, *Corporate Governance*, for agency, accountability and board structures.
- **[G11]** David F. Larcker and Brian Tayan, *Corporate Governance Matters*, for board incentives and monitoring, with contextual differences for private companies.
- **[G12]** The user-provided *Theory of Institutional Evolution* (2026), especially its proposed separation of commercial operating company and research/academic institution, the three capital markets, and staged governance.

Legal source caution. Regulatory websites can contain historical versions; binding obligations derive from operative law, notifications, rules and the specific transaction. This chapter explains what to ask and document, not what a particular company has already complied with. Obtain independent legal opinions for financing, entity restructuring, property, foreign funds, and degree authority.

End of Chapter 35 — The Theory of Institutional Governance.